

Build-Buy-Partner Decision

GLOSSARY 03 - SHEET 5 / 8

Choosing whether to develop internally, procure, or ally for a required capability

PROFESSIONAL DEFINITION

The build-buy-partner decision is the choice of governance mode for acquiring a required capability: internal development, market procurement, or a collaborative arrangement such as an alliance or joint venture. In transaction cost economics the choice turns on asset specificity, uncertainty and the frequency of the transaction, with internalisation preferred as specificity and uncertainty rise, because market contracting then becomes vulnerable to opportunism (Williamson, 1985; Capron and Mitchell, 2012).

WHO DEFINED IT ORIGINALLY

The theoretical basis is Oliver E. Williamson's transaction cost economics, developed from Ronald Coase's (1937) question about the nature of the firm and set out in *The Economic Institutions of Capitalism* (1985), for which Williamson shared the 2009 Nobel Memorial Prize. Laurence Capron and Will Mitchell (2012) developed the managerial decision framework in *Build, Borrow, or Buy*.

WHY THIS DEFINITION WAS DEVELOPED

Capability acquisition decisions were being taken on cost comparison alone, which systematically favoured buying because it ignored the costs of contracting, monitoring and eventual lock-in. Williamson's framework prices those costs; Capron and Mitchell added the observation that firms have a persistent default mode and apply it regardless of the transaction's characteristics.

FIGURE 1 - GOVERNANCE MODE BY ASSET SPECIFICITY

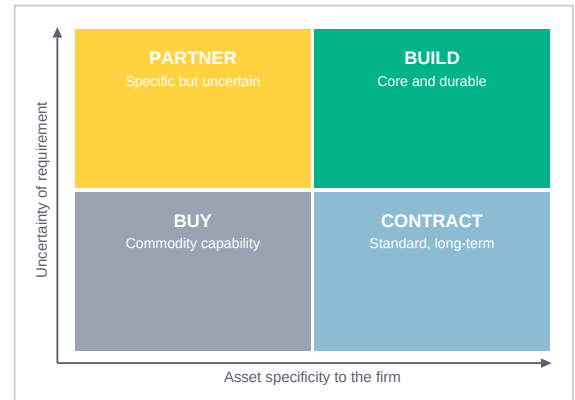


Figure 1. The mode follows the transaction, not the firm's habit. Foundation models typically sit in the buy quadrant while the data pipelines and workflow integration around them sit in the build quadrant, which is why the two are procured differently (after Williamson, 1985; Capron and Mitchell, 2012).

HOW IT IS USED

Assess the capability's specificity to the firm, the uncertainty around its future requirements and how often it will be transacted; internalise where all three are high, procure where all three are low, and use a partnership where they diverge.

WHEN IT IS USED

At foundation-model and AI platform selection, when deciding whether to hire or contract scarce AI talent, before signing a multi-year vendor commitment, and when reassessing an existing vendor relationship at renewal.

BY WHOM IT IS USED

Technology and procurement leaders, chief financial officers evaluating total cost of ownership, corporate development teams structuring alliances, and legal counsel assessing lock-in and exit.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor decision rule was make-or-buy on unit cost, a two-option comparison of production cost that ignored transaction cost entirely. Williamson added the third element - the cost of the transaction itself - which explains why firms internalise activities they could purchase more cheaply. Capron and Mitchell's contribution is behavioural: they show that the dominant error is not choosing wrongly on the merits but applying the firm's habitual mode without assessing them.

RELATED DEFINITIONS IN THIS COURSE

[AI Strategy - Unit 3](#)
[Competitive Advantage - Unit 3](#)
[AI Operating Model - Unit 3](#)
[Scalable AI Business Model - Unit 3](#)
[MLOps - Unit 4](#)

SOURCES (HARVARD REFERENCING STYLE)

Capron, L. and Mitchell, W. (2012) *Build, Borrow, or Buy: Solving the Growth Dilemma*. Boston, MA: Harvard Business Review Press.
 Coase, R.H. (1937) 'The nature of the firm', *Economica*, 4(16), pp. 386-405.
 Williamson, O.E. (1985) *The Economic Institutions of Capitalism*. New York: Free Press.